

STATE,
MARKET,
SOCIETY



Ashwin Mahesh
A social entrepreneur, founder of Mapunity and LVBL, and co-founder, Lithium, wakes up with hope for the city and society, goes to bed with a sigh
✉ @ashwinmahesh

Everything by Everyone: Bengaluru’s case for direct participation

The paradox of Namma Bengaluru is all around us. The city is a global hub of technological capability and learning, but we have been unable to deploy that talent to tackle our public problems. It is as if we are living in two separate worlds: one that celebrates our capabilities and another that treats those as a ship passing in the night.

The main hurdle has not been a lack of public initiative or market capability, but a broken institutional model. The government resists problem-solving by anyone other than itself. Carpooling isn’t allowed; ward committees don’t exist even when there are elected councils. Committees formed to provide input from professionals and citizens are deemed to have consented to the state’s decisions.

The monopoly on execution has failed. The trash on our streets, contractor overbilling, potholes, and sewage in our lakes – the government created these. The challenges we face are far too complex and dynamic for bureaucracies

acting alone to solve. Not only that, this has been worsened by a system that also blocks everyone else. The result is that even the simplest things don’t get done.

Is it really so hard to put up a bus stop with shelter, seating, and route signage? Transport planning students could do this in weeks with modest infrastructure funds and good route data from BMTC. That we’ve not done this in decades despite the state’s resources should tell us something: we need to distribute problem-solving and let those who can, do. Can everything be done by everyone? No, but a lot can be, and it’s that principle we must grasp.

There are two distinct lenses to this quest. First, we must consider how the state ought to change. How can a defensive gatekeeper be structurally transformed into an enabling, open platform? Second, because waiting for government reform can be wishful thinking, we must ask: what can citizens, communities, businesses, and civic groups actively build even

if the state continues to stand in the way?

Everything by Everyone cannot be another bureaucratic framework; it must foster and function as a necessary civic instinct, one that recognises the interplay of state, market, and society to solve problems. This isn’t revolutionary. Democratic governance began with direct participation. In classical Athens, citizens gathered in the Assembly to vote on policies, select officials by lot, and deliberate directly. In India, too, *gana sanghas* and *rajyas* existed 2,500 years ago.

Representative government was a pragmatic compromise, built for an era of physical distance, paper documents, and slow travel. But the technological limits of the late 18th century need not be our anchors today. The friction of distance has collapsed, and information flows across the world in an instant. This does not mean replacing representative bodies overnight with chaotic online polling, but it does mean that the original ideal of direct, partici-

patory governance is newly possible.

Here, the state’s role must change from executing decisions to enabling them. It must do things like setting open data standards, ensuring safety and equity, and aggregating many efforts. When it does these, it stops being a bottleneck and instead becomes the infrastructure upon which everyone can build solutions.

We’ve seen it work. Bengaluru’s lake restoration movement partially succeeded because local communities, scientists, corporate sponsors, and civic groups stepped into the void. The partial rationalisation of BMTC’s bus routes, the development of the traffic control centre, and the pedestrianisation of CBD roads – in each case, the state enabled the adoption of ideas that originated outside. This year, a very small group of residents took charge of garbage vehicle tracking in Koramangala. Dashboard camera data from private fleets is now being used in pilots to identify nearly 30 types of problems.

Much more can be done if we make all of this

work in a structured way, around principles. The state must embrace modularity by breaking massive urban challenges into smaller tasks. It must devolve authority and decision-making down to the neighbourhood level. Finally, it depends on transparent and honest feedback.

These principles tell us the shape we need to give the state. To make this happen, we must set about our problem-solving in ways that reform and transform the state towards this imagination. The first rule of that new path is that citizens and communities must claim the ground of problem-solving without waiting for permissions or for the state to join them.

We must begin building hyper-local air and water monitoring networks, organising waste audits to stop contractor fraud, developing designs for public spaces to enable greater inclusion and use, etc. When such initiatives generate undeniable data and superior results, they force the state into a decision – it, too, must reimagine democracy.

JUDGMENT DAY A Meta question on public nuisance

I still remember Mark Zuckerberg talking up Facebook, years ago, as a student networking site. The video still exists on YouTube as a relic of a more innocent past, when social media was supposed to enhance social connections. Today, Facebook, now rebranded as Meta, is known more for souring social connections than bettering them. Instagram, Meta’s crown jewel and the *bête noire* of parents and educators everywhere, is often accused of increasing social anxiety and online addiction among young people. Social media addiction has reached a stage where a concerted global response is required, with governments learning from each other in how to regulate this space.

The law has been slow to catch up with technological shifts, but it has always operated at a pace not proportional to economic and social change. However, in an interesting twist, governments have started using old legal concepts to fight new challenges. A while ago, I had written about a court in California applying the centuries-old law of negligence to hold Meta liable for causing harm to teenagers through addictive social media platforms. Earlier this month, a court in New Mexico held Meta accountable on a different legal basis altogether. The social regulation in this area is developing rapidly, and governments are discovering new ways to manage what is now considered a massive mental health crisis.

In *State of New Mexico v. Meta Platforms*, the legal strategy used against Meta was different from the earlier strategy of arguing that Meta negligently designed its platform. To begin with, it was not an individual citizen, but the state of New Mexico that brought an action on behalf of its residents. Furthermore, the harm litigated differed. New Mexico argued that Meta, through its social media platforms, had created a public nuisance! One associates a public nuisance with a polluting factory or a leaking sewage plant, not a shiny social media platform. The remedy sought was different, too; New Mexico asked the court to order Meta to take measures that continuously mitigate the nuisance.

The court agreed with New Mexico on the nuisance claim. It concluded, based on detailed evidence, that Meta’s platforms were designed in such a way that they contributed significantly to the mental health crisis among the youth in New Mexico. The court said the ‘probable result of Meta’s engagement optimisation practices, including employing features that quantify popularity and encourage use at all hours of the day, is that such practices would increase anxiety, depression, and sleep deprivation among teenagers.’

It brushed aside Meta’s argument that social and environmental factors also cause social anxiety. While Meta argued that it had legal immunity for the content hosted on its platforms, the court concluded that this immunity would not come in the way of Meta being held liable for creating a public nuisance.

Reflect on how revolutionary this decision is in creating a legal basis for tackling social media giants like Meta. For the first time, we have a decision that connects social media algorithms to a public health crisis.

Once the court concluded that Meta had created a nuisance, the question was what to do with the nuisance. It needs to be controlled, and towards this purpose, Meta was asked to pay a substantial sum of money (\$567 million) into a fund. This fund would finance activities, including raising awareness about social media addiction and covering the prevention and treatment of mental health issues arising from online dependencies.

The New Mexico case is one of several legal disputes in which Meta is currently embroiled. Soon after this case was decided, Meta entered into a multi-billion-dollar settlement in a lawsuit filed by four other states and agreed to limit platform features, such as infinite scroll, automatic playback, and round-the-clock notifications.

India should take note of these developments. The common law torts of negligence and nuisance are part of Indian jurisprudence, even though they are not litigated as extensively as in the United States. India must explore innovative ways to tackle the addiction caused by social media platforms. Whether this involves legislation or public interest litigation is something civil rights groups and policy think-tanks must look into. Nevertheless, these efforts will need to garner the evidence and documentation required to achieve outcomes similar to the New Mexico case.



Nigam Nuggehalli
is a law professor who thinks that the law is too important to be left to the lawyers
✉ nsnigam@gmail.com



GADFLY Reframing education: Why states must step up

It may seem that everything that has to be said about the student protests has already been said. Yet, much more remains to reflect upon regarding disparate and overlooked angles. As we know, long-simmering tensions over the cratering economic prospects, the severe credibility crises besetting the quality of public and private education, and the hubris of the Central government over examination paper leaks triggered the youth. Millions of common Indians spend beyond their means to get their wards into coaching centres to have them prepare for competitive exams. They spend on school, college, university education, and on coaching. These are signs of an educational ecosystem in deep disarray. Following the Jantar Mantar demonstrations, students protested regarding pre-university college facilities in Uttar Pradesh, even as more examination-related issues rattled Jharkhand.

Essentially, through a set of dire circumstances, the time has arrived wherein neither the Centre nor the states can take the fate of education for granted any longer. This includes all forms of education. For far too long, the subject of higher education, in particular, was perceived in public discourse in circumscribed ways. It was framed either through the polarities of caste-based reservation and/or the ever-shrinking space for seats in public education for the ‘majority’ in India. Those deeply relevant but incendiary framings invariably deflected public attention from questions just as fundamental to the subject of education: Why was it so difficult for commoners to obtain a good education in India? Why

were there so few quality institutions for crores of Indians? Why did students have to leave their village, small town or state to get educated hundreds of miles away? To a great extent, perhaps, the chaos in education can be traced to its seemingly arbitrary shift to the Concurrent List of the Indian Constitution at the peak of the Emergency in 1976. Education, ever since, has caused much federal fright. In the light of the Jantar Mantar agitation, while the Centre was forced to act, the states must now devote attention and accountability. No wonder Uttar

Rahul Jayaram
teaches at the School of Film, Media and Creative Arts, R V University, Bengaluru
✉ @rahuljayaram



Pradesh and Jharkhand are being pushed to act.

On education, some states have taken substantive action in ways that make powerful Central governments look listless. And they have received public credence for it and prospered. The Aam Aadmi Party (AAP) won a second term in the Delhi Assembly in early 2020, partly due to the goodwill its education ministry gained for improving the conditions in Delhi’s government schools. The AAP government wanted to be known as one that took elementary education seriously, showcased its implementation achievements, and deepened traction among the voters. It took a state-level party, then limited to Delhi, to make a case for identifying its work on education as one of its showpiece achievements.

There were and are genuine lessons to draw from there for all political players in the country. For much of India’s political history, education has been viewed instrumentally. In an earlier India, perhaps, one could get away with it. The subject of education, unlike other political policies, is not immediately actionable. It reaps rewards over time; sometimes, a government that effected a progressive initiative may not even be in power to enjoy the fruits of its work. Yet such seemingly rewardless commitments are now required.

The Gen Z protests reminded this writer of the public consciousness during Covid, which put the enormous, complex, scientific, and technical matter of public health to the front and centre. It compelled everyone to become more aware of some of the minutiae of individual and public health habits and behaviours. As is known, Kerala, Goa, and Tamil Nadu handled the crises arguably better than Uttar Pradesh and other north Indian states. Why? These states, in comparison, have had better coping systems; the people also had their governments under watch, ensuring that the state’s response matched the gravity of the crisis. This response to a global emergency, in many ways, was also an accolade for these high-performing states. It proved how investing in public education for decades can leave a verifiable legacy of enlightened citizenry – people who have been enabled by the systems, and yes, by state-run public education. The Gen Z protests jolted the Centre; for lasting growth, the states have to take the cue and step up, too.

THE BIG LENS UPI fee and its pushback risk

India’s Unified Payments Interface (UPI) has steadily grown in acceptance since its launch in 2016. Indigenously developed by the National Payments Corporation of India, the interface has transformed digital payments in the country. The numbers tell the story: the UPI now accounts for 87.6% of the retail digital payment volume, processing 24,162 crore transactions in FY 2025-2026. By June 2026, it had 55.49 crore users. It has also outdone credit cards as a payment option. This is important, given that transaction fees on international credit card payments (such as forex markup fees) in cross-border purchases represent a foreign currency outflow.

The popularity of UPI can be traced to three of its unique features. The first is its user-friendly operating system. Linked to the mobile number and the bank account of the user who downloads the payment gateway, the transaction goes through with a click. The QR code has become the easiest of tools to receive payments, at times even in single digits, changing how vendors across the spectrum do business.

Second, the interface has ensured ease of doing business for small traders. Besides, several online marketing businesses, airlines, high-end goods and services, and e-commerce applications accept UPI payments. This has reduced the work of banks in the form of cheque clearance and managing unaccounted transactions to a great extent.

The third feature entails the total absence of cash in transactions. This needs to be seen in the context of the 2016 demonetisation, which led to the withdrawal of Rs 500 and Rs 1,000 notes (about 87% of the total currency) from circulation. According to the Reserve Bank of India (RBI), out of the Rs 15.41 lakh crore worth of banned notes, 99.3% (Rs 15.31 lakh crore) was returned to the banking system. The exercise did not result in a huge drop in cash dealings in small and retail trade. Cash transactions were substantially reduced only after UPI gained acceptance among both consumers and traders.



Seshadri Chari
reads between the lines on big national and international developments from his vantage point in the BJP and the RSS
✉ @seshadrichari

India’s yearly retail market size is estimated to be about Rs 88 to 93 lakh crore. Of this, 80% is handled by unorganised outlets such as traditional corner stores, local vendors, and small traders. Their supply chain continues to heavily depend on cash transactions, often unbilled and out of the Goods and Services Tax (GST) net. Since digital transactions are linked to PAN, Aadhaar, the Income Tax portal, and bank accounts, sales through the interface are recorded. However, the bulk of vendors’ purchases remains unaccounted for, causing a loss of tax revenue.

The government has clarified that the recent Taxation and Other Laws (Amendment) Bill, 2026, aims to enhance regulatory flexibility. This policy update comes with a commitment: individual users and standard Person-to-Person (P2P) money transfers using UPI will remain entirely free of transaction charges. However, reports indicate that this zero-charge benefit for P2P transfers may carry a threshold – potentially capped at just Rs 2,000. This is a modest limit that represents a tiny fraction of average retail transactions, making the amendment facilitate a fee on all higher-value transfers.

Banking institutions push for a revenue mechanism along the lines of the Merchant Discount Rate (MDR) – the processing fee businesses pay on card transactions, traditionally split among the card networks, issuing banks, and payment gateways.

Public adoption of any digital financial network hinges on ease of use, transparent operations, and an assurance of non-interference by the banks and government agencies, such as the Income Tax Department. Overregulation carries its own risks. In July 2025, the Karnataka GST administration issued tax demand notices to numerous traders after analysing the UPI transaction volumes from their bank accounts.

While UPI’s direct link to bank accounts offers transparency, it also reveals the vendors’ business activity. Fearing the possibility of penalties and aggressive tax audits, many small traders abandoned digital payments and reverted to cash-based operations.

This regulatory overreach reminds one of a classic fable – of the greedy farmer who slaughtered his golden-egg-laying goose to attain immediate wealth. Over its 10 years of operation, UPI has secured markedly significant socio-economic dividends, such as unprecedented digital inclusion and reduced cash-handling costs. The economic empowerment it has facilitated far outweighs the gains from revenues collected by enforcing a transaction fee. India’s policymakers must resist the lure of short-term gains and devise strategies to preserve the digital payment ecosystem. A structural disruption now risks denting public trust – sometimes, these shifts can become irreversible.

✉ Write to us at: theprism@deccanherald.co.in



Capt GR Gopinath (Retd.)
builds bridges, sometimes by tearing down walls. He is a soldier, farmer, and entrepreneur

Rahul Gandhi is on the offensive these days. “Smash the patriarchy”, he said, mocking what he called the “Manusmriti mindset” – an oblique hit at Narendra Modi’s remarks on Jantar Mantar’s women protesters. Later, after Kangana Ranaut culture-policed Kirti Sanon for her clothes while tying a *rakhi* in a commercial, he wrote: “What a woman wears, what she does, and where she goes is her choice.”

The country split at once. Sanatanis on one side, those the Prime Minister now calls “*Dim-agri* Naxals” on the other. Our prime-time TV anchors egged it on. It was less a debate than a mud-slinging pit. The BJP listed Congress’s and Rahul’s hypocrisies. Why was Priyanka moved from Rae Bareilly to Wayanad? Why did Rajiv Gandhi overturn the Supreme Court’s Shah Bano judgment that ordered alimony to a divorced woman? Why did the UPA oppose the

Uniform Civil Code, but stand by triple *talaq*?

The Congress hit back. The BJP, they said, preaches morality while crushing young love with ‘Love Jihad’, and looks away from *khat* panchayats and ‘honour’ killings. Some got personal and asked Modi to look in the mirror. It became a strange contest: who is more misogynistic? And in that shouting match, we lost the woman, the centre of the debate.

That takes me back to my village. There was a Brahmin, married and childless. After years of waiting, he married again, a younger and prettier woman. When a couple has no children, society tends to ‘fault’ the woman. Then, his first wife delivered two sons in quick succession. The second wife also bore children. On his meagre income as a priest, he saw his folly.

One day, he announced a Kashi *yatra* with his first wife – the vow every Brahmin takes to

bring back Ganga water in a copper urn. They boarded a night train to Varanasi. On the third night, while his wife slept, the man slipped off at a small station and headed back to his village, with a sense of relief. His wife had never left her village; she spoke only Kannada and had not a *paisa* on her. On his return to the village, he filled a copper pot with tap water and went home weeping. He told everyone how he lost his wife in the crowd at a Kashi *ghat* while taking a dip, how he waited three days, and then concluded she had been washed away to the Lord’s lotus feet. “I, a sinner, still live,” he moaned. People murmured, but commiserated as if he were bereaved. He resumed his priestly duties without remorse.

Two months later, there was a commotion at his porch. He stepped out and stood still, as if he had seen a ghost. A bedraggled woman stood

there with a crowd. “Yashodha!” he cried and fainted. It was his wife.

Life is stranger than fiction. But sometimes, fiction tells it truly. In Banu Mushtaq’s *Heart Lamp*, Mehrun is still in her teens when she is forced into marriage, though she wants to study. She marries a well-off man and bears five children. Her husband, Inayat, body-shames her and tells her she fails to satisfy him. His misogyny and infidelity distress Mehrun, so she returns to her family home with her infant daughter. The reception is cold, even hostile. Men are like that, she is told – the man will return when he is satiated; it is for her to adjust.

Her brothers are worried about what society would say, and tell her that a wife’s place is with her husband. They take her back to her husband. She enters the house she hates and pulls a blanket over herself. Her husband, who

has been away, comes home unaware she had left, and soon, leaves again.

Night falls. The darkness in the house becomes one with the darkness in Mehrun’s soul. She looks at her five children; at Salma, the eldest daughter, 16, who will be their mother after dawn, walks to the backyard, and pours kerosene over herself. She is about to strike a match when Salma sees her mother and stops her. The girl tells Mehrun that the children need their *Ammi*.

This is not fiction. This is the all-pervading orthodoxy we read and hear about every day. We worship Durga, Kali, Lakshmi, Saraswati, Parvati, Maramma, and Yellamma with great fervour, and then we abandon Yashodha at a dark railway station. Gandhi put it simply: “The soul of a civilisation can be measured by the respect it accords to women.”